

FOR NEW LICENSES AND TRANSFER
LICENSE AND/OR PERMIT APPLICATION
 FOR LIQUOR, COUNTY MALT BEVERAGE, LIMITED, WINERY OR MICROBREWERY

To be completed by the City, Town or County Clerk:

Date Filed: 3/20/14 MR 07615

	Annual Fee	Prorated Fee
Basic Fee:	\$ <u>10,500.00</u>	\$ _____
Add'l Dispensing Room	\$ _____	\$ _____
Fee:		
Transfer Fee:	\$ _____	
Total License Fee	\$ <u>10,500.00</u>	\$ _____
Collected		
Publishing Fee Collect:	\$ <u>100.00</u>	

Required Attachments Received: Yes ☒

Advertising Dates(4): March 24, 31, April 7, 14, 2014

Hearing Date: April 14, 2014

Local Licensing Number: 62

For the license term: upon issuance

Through: March 31, 2015

A copy must be immediately forwarded to:
 State of Wyoming Liquor Division
 1520 E 5th Street
 Cheyenne WY 82002-0110

Formerly Held by: _____

Applicant: WRCH - Cheyenne, INC

Trade Name (dba): Wyoming's Rib and Chophouse

Premise Address: 400 W Lincoln Way
 Number & Street
Cheyenne WY 82001 Laramie
 City State Zip County

Mailing Address: P.O. Box 2383
 Number & Street or P.O. Box
Livingston MT 59047
 City State Zip

Business Telephone Number: 307, 752-4331

Fax Number: Preston CHASSIN

E-Mail Address: Preston Rib and Chophouse, com

LICENSING AUTHORITY: Begin publishing promptly. As W.S. 12-4-104(d) specifies: **NO LICENSING AUTHORITY SHALL APPROVE OR DENY THE APPLICATION UNTIL THE LIQUOR DIVISION HAS CERTIFIED THE APPLICATION IS COMPLETE.**

FILING FOR ☒ NEW ☐ TRANSFER LOCATION ☐ TRANSFER OWNERSHIP FILING IN (CHOOSE ONLY ONE) ☐ CITY OF <u>Cheyenne</u> ☐ COUNTY OF <u>LARAMIE</u> FILING AS (CHOOSE ONLY ONE) ☐ INDIVIDUAL ☐ LLC ☐ PARTNERSHIP ☐ LLP ☒ CORPORATION ☐ LTD PARTNERSHIP ☐ ASSOCIATION ☐ ORGANIZATION	TYPE OF LICENSE OR PERMIT (CHOOSE ONLY ONE) ☐ RETAIL LIQUOR LICENSE ☐ on-premise only ☐ off-premise only ☐ combination on/off premise ☐ RESTAURANT LIQUOR LICENSE ☐ RESORT LIQUOR LICENSE ☐ COUNTY RETAIL or SPECIAL MALT BEVERAGE PERMIT ☐ VETERANS CLUB ☐ FRATERNAL CLUB ☐ GOLF CLUB ☐ SOCIAL CLUB ☐ MICROBREWERY ☒ WINERY ☒ BAR AND GRILL ☐ LOCATED WITHIN 5 MILES OF CITY (County License only)	To Assist the Liquor Division with scheduling inspections: DO YOU OPERATE? ☒ FULL TIME (e.g. Jan through Dec) ☐ SEASONAL/PART-TIME (specify months of operation) from <u>JAN</u> to <u>Dec</u> DAYS OF WEEK (e.g. Mon through Sat) <u>MON - SUNDAY</u> HOURS OF OPERATION (e.g. 10a - 2a) <u>11 AM TO 11 PM</u>
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1. Location of License:

(a) Give a description of the dispensing room and state where it is located in the building (e.g. 10x12 room in SE corner of 1st floor of building). If the building is not in existence, provide the location and an architect's drawing or suitable plans of the room and premises to be licensed: If **Winery or Microbrewery**, also list manufacturing facility, W.S. 12-4-102(a)(i); (Please submit a drawing of dispensing room)

A 31x23 Foot Room in the southeast corner of Building

(b) Do you have an additional dispensing room? ☐ YES ☒ NO If yes, provide description and location:

(c) Provide the legal description and the zoning of the site where the applicant will conduct business:

lots 5, 6, 7 & 8 Block 392.0C CBD

2. Do you W.S. 12-4-103 (a) (iii):

- (1) **OWN** the building in which sales room is located?
 (2) **LEASE** the building in which sales room is located?

☐ YES (own)
☒ YES (lease)

(A) **DATE** lease expires 5/31/24 located on page 1 paragraph 104 of lease document.

(B) Provision for **SALE** of alcoholic or malt beverages located on page 19 paragraph 2407 of lease.

NOTE: Attach a true copy of the lease to application. Lease **MUST** contain provision for **SALE OF ALCOHOLIC or MALT BEVERAGES** and be valid **THROUGH** the **TERM OF THE LICENSE** W.S. 12-4-103(a)(iii).

3. Have you already assigned, leased, transferred or do you intend to assign, lease, transfer, contract or in any other manner agree with any person or firm other than yourself as licensee to operate and assert control or partial control of the license and the licensed room to carry on the licensed liquor business? ☐ YES ☒ NO

4. Does any manufacturer, brewer, rectifier, wholesaler, or through a subsidiary affiliate, officer, director or member of any such firm: W.S. 12-5-401, 12-5-402, 12-5-403

- (a) Hold any interest in the license applied for? ☐ YES ☒ NO
 (b) Furnish by way of loan or any other money or financial assistance for purposes hereof in your business? ☐ YES ☒ NO
 (c) Furnish, give, rent or loan any equipment, fixtures, interior decorations or signs other than standard brewery or manufacturer's signs? ☐ YES ☒ NO
 (d) If you answered YES to any of the above, explain fully and submit any documents in connection therewith:

5. Does applicant have any interest or intent to acquire an interest in any other retail liquor license to be issued by this licensing authority? W.S. 12-4-103(b) ☐ YES ☒ NO

If "YES", explain: _____

6. Is applicant a mayor, member of a city or town council, or member of the board of county commissioners within the jurisdiction of this licensing authority? W.S. 12-4-103(a)(i) ☐ YES ☒ NO

7. Is applicant employed by the State, City or Town, or County as a law enforcement officer, or hold office as a law enforcement officer through election? W.S. 12-4-103(a)(ii) ☐ YES ☒ NO

RESTAURANT OR BAR AND GRILL LICENSE: Complete questions 8(a) and 8(b):

8. (a) Have you submitted a valid food service permit upon application? W.S. 12-4-407(a) W.S. 12-4-413(a) ☐ YES ☒ NO
 (b) Was your dispensing room for alcoholic and/or malt beverages in existence and open for consumption purposes prior to February 1, 1979? W.S. 12-4-410(b) ☐ YES ☒ NO ☐ N/A

RESORT LICENSE: Complete questions 9(a) through 9(c):

9. (a) Is the actual valuation of the resort complex at least one million dollars, or have you committed or expended at least one million dollars (\$1,000,000.00) on the complex, excluding the value of the land? W.S. 12-4-401(b)(i) ☐ YES ☐ NO
 (b) Does the resort complex include a restaurant and a convention facility which will seat at least one hundred (100) persons? W.S. 12-4-401(b)(ii) ☐ YES ☐ NO
 (c) Does the resort complex include motel or hotel accommodations with at least one hundred (100) sleeping rooms? W.S. 12-4-401(b)(iii) ☐ YES ☐ NO

MICROBREWERY AND/OR WINERY LICENSE: Complete questions 10 through 11:

10. Is premise to be co-existent with a retail, restaurant, resort or bar and grill liquor license? W.S. 12-4-412(b)(iii) ☐ YES ☐ NO

If "YES", please specify type: ☐ Microbrewery ☐ Winery ☐ Retail
☐ Restaurant ☐ Resort ☐ Bar & Grill:

11. (a) Do you self distribute your products? ☐ YES ☐ NO
 (b) Do you distribute your products through an existing malt beverage wholesaler? ☐ YES ☐ NO

ORGANIZATION AND/OR CLUB LICENSE: Complete questions 12 through 15 as applicable:

12. FRATERNAL CLUBS W.S. 12-1-101(a)(iii)(B)

- (a) The name and address of the grand lodge or national organization is: _____
 (b) Does lodge or fraternal organization hold a charter from a national organization or national grand lodge? ☐ YES ☐ NO
 (c) Has the fraternal organization been actively operating in at least thirty-six (36) states? ☐ YES ☐ NO
 (d) Has the fraternal organization been actively in existence for at least twenty (20) years? ☐ YES ☐ NO

13. VETERANS CLUBS W.S. 12-1-101(a)(iii)(A):

- (a) The name and address of the National Veterans organization is: _____
 (b) Has the Veteran's organization been chartered by the Congress of the United States for patriotic, fraternal or benevolent purposes? ☐ YES ☐ NO
 (c) Is the membership of the Veteran's organization comprised only of Veterans and its duly organized auxiliary? ☐ YES ☐ NO

14. SOCIAL CLUBS W.S. 12-1-101(a)(iii)(E):

- (a) Do you have more than one hundred (100) bona fide members who are residents of the county in which the club is located? ☐ YES ☐ NO
- (b) Is the club incorporated and operating solely as a nonprofit organization under the laws of this state? ☐ YES ☐ NO
- (c) Is the club qualified as a tax exempt organization under the Internal Revenue Service? ☐ YES ☐ NO
- (d) Has the club been in continuous operation for a period of not less than one (1) year? ☐ YES ☐ NO
- (e) Has the club received twenty-five dollars (\$25.00) from each bona fide member as recorded by the secretary of the club and are club members at the time of this application in good standing by having paid at least one (1) full year in dues? ☐ YES ☐ NO
- (f) Does the club hold quarterly meetings and have an actively engaged membership carrying out the objectives of the club? ☐ YES ☐ NO
- (g) Have you filed a true copy of your bylaws with the local licensing authority and the Wyoming Liquor Division? ☐ YES ☐ NO
- (h) Has at least fifty one percent (51%) of the membership signed a petition indicating a desire to secure a Limited Retail Liquor License?
(THE PETITION MUST BE ATTACHED TO APPLICATION) ☐ YES ☐ NO
- (i) Have you filed with the licensing authority and the Wyoming Liquor Division a detailed statement of your activities during the preceding year which were undertaken or furthered in pursuit of the objectives of the club, along with an itemized statement expended for such activities? ☐ YES ☐ NO

15. GOLF CLUBS W.S. 12-1-101(a)(iii)(D):

- (a) Do you have more than fifty (50) bona fide members? ☐ YES ☐ NO
- (b) Do you own, maintain, or operate a bona fide golf course together with clubhouse? ☐ YES ☐ NO

- 16. (a) If applicant is an Individual or Partnership:** State the name, date of birth and residence of each applicant or partner, if the application is made by more than one individual or by a partnership.

If the application is for a Club: State the name, date of birth and residence of each officer.

True and Correct Name	Date of Birth	DONOT LIST PO BOXES Residence Address No. & Street City, State & Zip	Residence Phone Number	Have you been a DOMICILED resident for at least 1 year and not claimed residence in any other state in the last year?	Have you been Convicted of a Felony Violation?	Have you been Convicted of a Violation Relating to Alcoholic Liquor or Malt Beverages?
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐

(If more information is required, list on a separate piece of paper and attach to this application.)

- (b) If the applicant is a Corporation, Limited Liability Company, Limited Liability Partnership or Limited Partnership:** State the name, date of birth and residence of each stockholder holding, either jointly or severally, ten percent (10%) or more of the outstanding and issued capital stock of the corporation, limited liability company, limited liability partnership, or limited partnership, and every officer, and every director.

True and Correct Name	Date of Birth	DONOT LIST PO BOXES Residence Address No. & Street City, State & Zip	Residence Phone Number	No. of Years in Corp or LLC	% of Stock Held	Have you been Convicted of a Felony Violation?	Have you been Convicted of a Violation Relating to Alcoholic Liquor or Malt Beverages?
						YES ☐ NO ☐	YES ☐ NO ☐
Burket Moran	8/11/67	8 Buckskin Trail Livingston, MT 59047	406-451-2343	NEW	51	YES ☐ NO ☒	YES ☐ NO ☒
Preston Christy	2/3/1966	1525 Alge Ave Cody, WY 82414	307-552-4371	NEW	49	YES ☐ NO ☒	YES ☐ NO ☒
		Alger				YES ☐ NO ☐	YES ☐ NO ☐
						YES ☐ NO ☐	YES ☐ NO ☐
						YES ☐ NO ☐	YES ☐ NO ☐

(If more information is required, list on a separate piece of paper and attach to this application.)

OATH OR VERIFICATION

(Requires signatures by **ALL** Individuals, **ALL** Partners, **ONE (1)** LLC Member, or **TWO (2)** Corporate Officers or Directors except that if all the stock of the corporation is owned by **ONE (1)** individual then that individual may sign and verify the application upon his oath, or **TWO (2)** Club Officers.) W.S. 12-4-102(b)

Under penalty of perjury, and the possible revocation or cancellation of the license, I swear the above stated facts, are true and accurate.

STATE OF WYOMING) Montana

SS.

COUNTY OF Park

Before Me, Elizabeth Anderson, (specify)
(Printed name of Notary or other officer authorized to administer oaths)

a Notary Public, Officer authorized to administer oaths in and for
Park County, Montana County, State of Wyoming, personally appeared
Burket Morm, Preston Chiasson name he/she being first duly sworn
(Insert Names)

by me upon his oath, says that the facts alleged in the foregoing instrument are true.

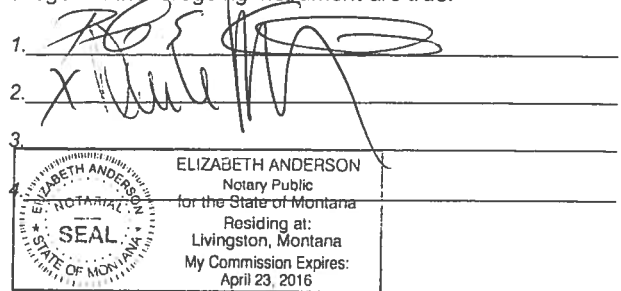
(Seal)

My Commission expires: April 23rd, 2016

Witness my hand and official seal:

Elizabeth Anderson
(Notary Public or other officer authorized to administer oaths)

Title _____



Dated: March 10th, 2014

REQUIRED ATTACHMENTS:

- Attach any lease agreements W.S. 12-4-103 (a) (iii).
- If the building is not in existence, an architect's drawing or suitable plans of the room and the premises to be licensed must be attached W.S. 12-4-102 (a) (i).
- A statement indicating the financial condition and financial stability of the applicant W.S. 12-4-102 (a) (v).
- Restaurant or Bar & Grill Liquor License applicants must include a copy of the CURRENT food service permit W.S. 12-4-407 (a) or 12-4-413 (a).
- Include a drawing of the dispensing room W.S. 12-5-201 (a).
- Check or bank draft as payment for the application and publishing the notice of application (Direct billing is permissible for publication fees) W.S. 12-4-101-4 (a).
- If transferring a license from one ownership to another, a form of assignment from the current licensee to the new applicant authorizing the transfer W.S. 12-4-601 (b).

ADVERTISING REQUIREMENTS W.S. 12-4-104(a):

When an application for a license, permit, renewal or any transfer of location or ownership thereof has been filed with a licensing authority, the clerk shall promptly prepare a notice of application, place the notice conspicuously upon the premises shown by the application as the proposed place of sale and public the notice in a newspaper of local circulation once a week for four (4) consecutive weeks. The notice shall state that a named applicant has applied for a license, permit, renewal or transfer thereof, and that protests against the issuance, renewal, or transfer of the license or permit will be heard at a designated meeting of the licensing authority.

FOR LIQUOR DIVISION USE ONLY		
Reviewer	Initials	Date
Agent:		
Chief:		
Acct.:		

WRCH-CHEYENNE, INC.

**400 W. LINCOLNWAY
CHEYENNE, WY 82001**

March 14, 2014

City Council
City of Cheyenne
2101 O'Neil Avenue
Cheyenne, WY 82001

Re: *Wyoming's Rib & Chop House* Liquor License Application

Dear Council Members:

I am submitting the attached application for a Bar & Grill liquor license with great enthusiasm. As the owner/operator of the *Wyoming's Rib & Chop House* restaurants in Sheridan & Cody, I have been looking forward to the opportunity of joining the Cheyenne community for many years. We are confident that with the excellent downtown location provided by John & Jim Dinneen along with our track record of successful restaurants, that we will provide an addition to the Cheyenne restaurant scene of which the community will be proud.

As an affiliate of the Finally Restaurant Group of Livingston, Montana which operates additional *Rib & Chop House* restaurants in Montana and elsewhere, we bring with us a strong desire to be "the community's restaurant" in each of the markets we serve.

With renovations to our site progressing on schedule we anticipate opening for business in late May or early June, 2014.

I stand ready to answer any questions that you may have about our operations or this license application. Thank you for your consideration.

Sincerely,

Preston Chiasson
President

STATE OF WYOMING
Office of the Secretary of State

I, MAX MAXFIELD, SECRETARY OF STATE of the STATE OF WYOMING, do hereby certify that the filing requirements for the issuance of this certificate have been fulfilled.

CERTIFICATE OF INCORPORATION

WRCH-Cheyenne, Inc.

Accordingly, the undersigned, by virtue of the authority vested in me by the law, hereby issues this Certificate.

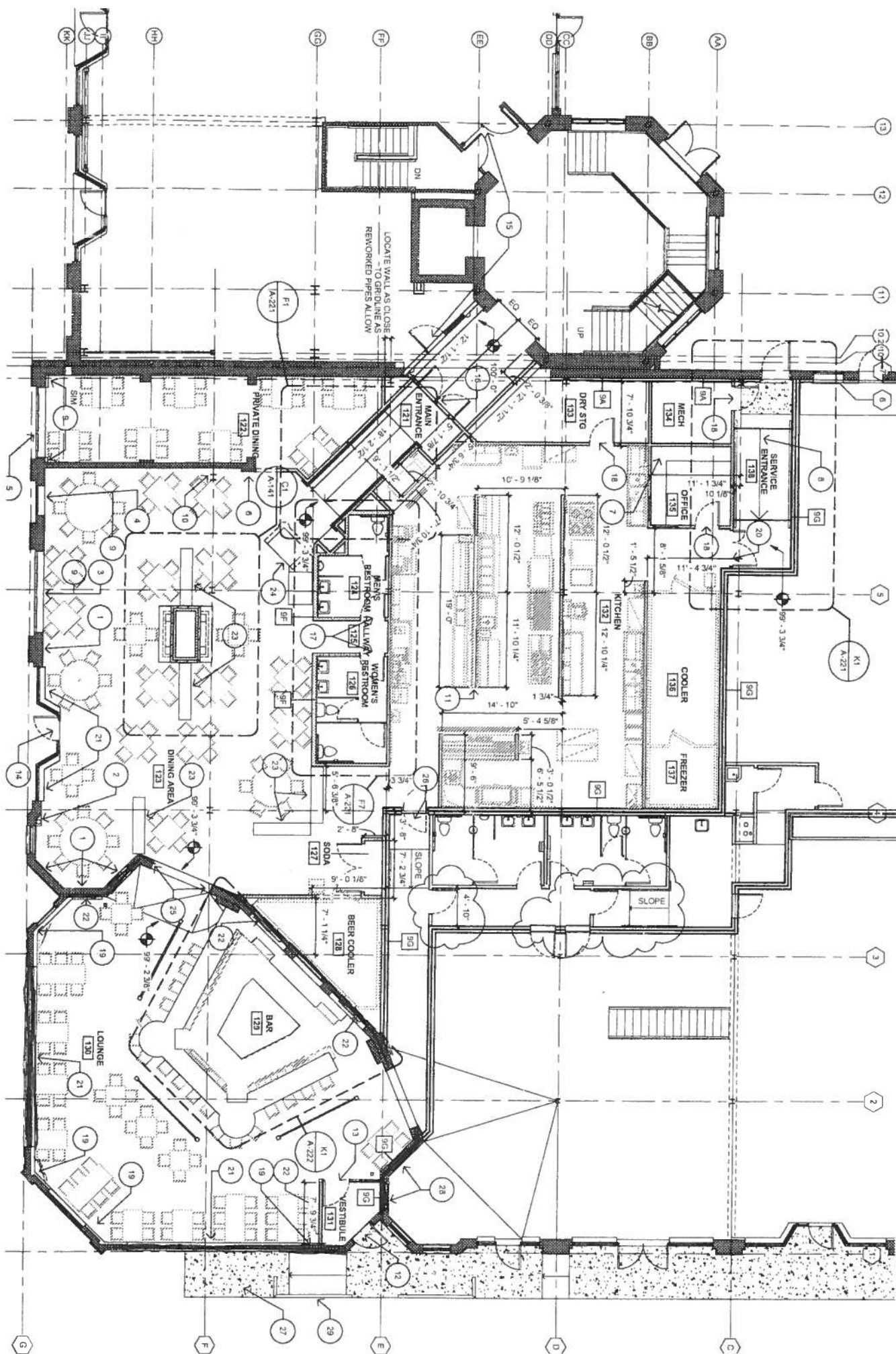
I have affixed hereto the Great Seal of the State of Wyoming and duly executed this official certificate at Cheyenne, Wyoming on this **12th** day of **December, 2013**.



Filed Date: 12/12/2013


Secretary of State

By: Rosalie Gonzales



WRCH-Cheyenne, Inc.
STATEMENT OF FINANCIAL CONDITION

To Whom It May Concern:

WRCH-Cheyenne, Inc. will be the operator of "*Wyoming's Rib & Chop House*" in Cheyenne, Wy beginning in May, 2014.

While WRCH-Cheyenne, Inc. is a new entity without an established financial history, the corporation's shareholders Burke Moran & Preston Chiasson, are the owner/operators of *Wyoming's Rib & Chop House* in Cody & Sheridan, Wyoming. In addition, through his **Finally Restaurant Group** and other entities, Mr. Moran operates or licenses 12 other restaurants in five states.

Mr. Chiasson has been operating successfully in Cody & Sheridan for a number of years and he will ensure that the new Cheyenne restaurant will be adequately capitalized and responsibly managed.

WRCH-CHEYENNE, INC.
Statement of Financial Position
(Pro Forma)

		May, 2014
ASSETS:		
Cash		50,000
Lease Deposit		250,000
	Total Assets	<u>\$ 300,000</u>
LIABILITIES & EQUITY		
Liabilities:		
Accounts Payable		25,000
Equity:		
Shareholder Equity		275,000
YTD Income (Loss)		-
	Total Liabilities & Equity	<u>\$ 300,000</u>

RESTAURANT LEASE AGREEMENT

THIS RESTAURANT LEASE AGREEMENT is made and entered into as of the 22nd day of January, 2014, by and between Dinco Development LLC, a Wyoming limited liability company (herein the "Landlord"), and WRCH - Cheyenne, Inc., a Wyoming corporation (herein the "Tenant"). The following exhibits are attached to and made part of the Lease: Exhibits A (Outline and Location of the Premises), Exhibit B (Cost Estimate), and Exhibit C (preliminary Food Service Equipment list).

1.00 Basic Lease Information.

1.01 *Premises.* The Premises are hereby leased to Tenant from Landlord. The term "Premises" shall mean (i) the area shown on Exhibit A, containing approximately 6,830 square feet for Tenant's restaurant in the Building, to be known as 400 W. Lincolnway, Cheyenne, Wyoming, and (ii) approximately 250 square feet of hallway space in the Building to access the common restrooms as shown on Exhibit A-2. The Premises include the Tenant Finish Work as described in Section 4.00. The Premises shall also include Tenant's right to use portions of the Property intended for use by other tenants and the general public, including the lobby, public entrances, hallways, stairways, elevator, outdoor parking, service and delivery areas, sidewalks and other similar public areas and access ways of the Property ("Common Area").

1.02 *Building.* The term "Building" shall mean the building located at 415 W. 17th Street, Cheyenne, Wyoming.

1.03 *Property.* The term "Property" shall mean the Building and the land on which it is located and the parking facilities and other improvements serving the Building and the land on which they are located.

1.04 *Term.* The Term shall be a period of ten (10) years. Subject to Section 2.00, the Term shall commence on June 1, 2014 ("the Commencement Date"), and unless terminated early in accordance with the Lease, the Term shall end on May 31, 2024 ("the Termination Date").

1.05 *Rent.* The Rent payable by Tenant to Landlord over the Term of this lease shall be determined according to Section 3.00. "Base Rent" is an amount equal to the sum of three components: core & shell rent, tenant finish rent, and hallway / restroom rent.

1.06 *Permitted Use.* The Premises may be used by Tenant for the purpose of maintaining a Rib & Chop House restaurant, or any other restaurant use, subject to exclusive use protections of other tenants in the Building.

1.07 *Notices.* Any Notice required under this Lease shall be in writing, and be delivered by certified mail, addressed to:

Landlord:

Dinco Development LLC
P. O. Box 27
Cheyenne, WY 82003
Attn: John Dinneen, manager

Tenant:

WRCH - Cheyenne, Inc.
400 W. Lincolnway
Cheyenne, WY 82001
Attn: Preston Chiasson

2.00 Adjustment of Commencement Date and Term; Possession.

2.01 Landlord shall perform tenant finish work in accordance with Section 4.00. If the tenant finish work is not completed by the date set forth in Section 1.04 as the Commencement Date, such date shall instead be regarded as the "Target Commencement Date"; and the actual Commencement Date shall be the date on which the City of Cheyenne has performed its final inspection and approved the Premises for tenant move in. If the actual Commencement Date is not the first day of a month, the Term shall include the number of days from the Commencement Date to the last day of the month, and the date set forth in Section 1.04 as the Termination Date shall instead be on the last day of the month which includes the tenth (10th) anniversary of the actual Commencement Date.

2.02 If Tenant takes possession of the Premises before the Commencement Date, such possession shall be subject to the terms and conditions of this Lease and Tenant shall pay Rent to Landlord for each day of possession before the Commencement Date.

3.00 Rent.

3.01. *Base Rent.* Beginning on the Commencement Date, and over the following ten (10) years of the Term, Tenant shall pay Landlord an aggregate Base Rent calculated according to this Section 3.01. The Base rent is amount equal is the sum of the following three components:

A. Core & Shell Rent. Core & shell rent is for Tenant's use of the Building and Property *before* construction of the Tenant Finish Work. Landlord shall bear the costs of the additional work necessary to complete the Premises to a traditional core & shell level before or coincident with construction of the Tenant Finish Work. The core & shell rate begins with an annual rate of \$12.97 per square foot (sometimes "psf"), adds factors of \$2.53 psf for Common Area Maintenance expenses (see Section 5.00), and \$1.60 psf for employee parking (see Section 19.00), for a total initial annual core & shell rate of \$17.10 per square foot, **except** that for the first three (3) months of the Term, the core & shell rates shall be \$6.40 psf, plus \$1.25 psf for Common Area Maintenance expenses and \$1.60 psf for employee parking, for a total reduced core & shell rate of \$9.25 per square foot. The total annual core & shell rate shall increase by \$0.25 psf every year over the Term of the lease effective on each anniversary of the Commencement Date.

The core & shell rent shall therefore be equal to the product of the rentable square feet in the Premises multiplied by the applicable annual core & shell rate per square foot as follows:

Period	Core & Shell Rate
Year 1	
Year 2	
Year 3	
Year 4	
Year 5	
Year 6	
Year 7	
Year 8	
Year 9	
Year 10	

adjusted as necessary for the reduced rates set out in the previous paragraph for the first three months of the Term, and after Year 5 following the parties' negotiations regarding Tenant's employee parking spaces (see Section 19.00).

B. Tenant Finish Rent. Tenant finish rent is for Tenant's use of the tenant finish constructed by Landlord on behalf of Tenant. The tenant finish rent shall equal the monthly payment calculated to amortize the Tenant Finish Costs at the Applicable Interest Rate over the Applicable Period with payments at the beginning of the month.

For the purpose of calculating the Tenant Finish Rent under this subparagraph:

1. "Tenant Finish Costs" shall mean all costs paid by Landlord to construct the Tenant Finish Work as described in Section 4.00, including construction costs, Food Service Equipment costs, architectural and design costs, engineering costs, construction manager fees and general conditions, builder's risk insurance, and construction interest..

2. "Applicable Period" shall mean a 15-year (180-month) amortization period, adjusted if necessary on September 1, 2020, for Tenant's election to add two years to the amortization period, as described below.

3. "Applicable Rate" shall mean a fixed interest rate of 4.75% per annum until September 1, 2020, when the interest rate shall change to the Prime Rate published in the "Money Rates" section of the *Wall Street Journal* ("the index"), plus 0.25%, provided, however, that such rate shall not be lower than 4.75%, nor higher than 9%. If the index is unavailable on September 1, 2020, Landlord shall designate a substitute index of the prevailing Prime Rate, and give Tenant notice of such designation.

Over the Term of this Lease, using the Applicable Period and Applicable Rate, after applying the down payment described in Section 4.10, tenant finish rent payments shall be calculated on three separate dates: (i) as of the Commencement Date, with the calculated payment reduced by fifty percent (50%) for the first three (3) months of the Term, then (ii) recalculated on the first day of the fourth (4th) month of the Term, such that the amount of the reduction allowed in the first three months is fully amortized over the number of months remaining in the Applicable Period, and (iii) on September 1, 2020.

For the period beginning on the Commencement Date and ending on August 31, 2020, tenant finish rent payments shall be calculated as soon as possible after the Commencement Date. The parties shall stipulate as necessary to the payment of amount(s) due for the initial month(s) following the Commencement Date, until Tenant Finish Costs are finally agreed upon as described in Section 4.05, and make the appropriate adjustment to ongoing tenant finish rent payments to adjust for any difference between estimated and final Tenant Finish Costs.

For the period beginning on September 1, 2020, and ending on the Termination Date, tenant finish rent payments shall be re-calculated as of September 1, 2020. An increase in the Applicable Rate effective on September 1, 2020, will increase the tenant finish rent for the remainder of the Term, effective on that same date. Therefore, in order to offset a possible increase in tenant finish rent payments beginning on September 1, 2020, Tenant shall have on such date a one-time right to add two years to the remaining Applicable Period, provided, however, that the resulting tenant finish rent payments shall not be lower than before September 1, 2020.

For the purposes of the option to purchase the Premises as described in Section 26.00, the parties shall stipulate to an amortization schedule to track the declining principal balance of Tenant Finish Costs, as if the Tenant Finish Costs were in fact a loan amortized at the Applicable Interest Rate over the Applicable Period.

C. Hallway / Restroom Rent. Hallway / restroom rent is for Tenant's exclusive use of a hallway in the Premises connecting to common restrooms serving employees, customers and guests of Tenant as well as other tenants whose lease space in the Building connects by hallway to the common restrooms. The

hallway and restrooms shall to be designed and constructed at Landlord's cost. Tenant shall pay Four Hundred Fifty Dollars (\$450) per month for its exclusive use of the hallway, and use of the common restrooms. Tenant shall be solely responsible to provide at its cost all janitorial service for the common restrooms (including all cleaning equipment and supplies, and all paper products), and shall maintain the common restrooms as provided in Section 6.00. Landlord will assume an equitable share of costs based on other, future tenant uses.

3.02 *Pro-Rata Rent.* If Commencement Date is not on the first day of a calendar month, then Tenant shall pay to Landlord, on the such date, a fraction of the calculated monthly rental amount, the numerator of which is the number of days from and including the date which is the Commencement Date to the last day of such calendar month, and the denominator of which is the total number of days in such calendar month. This payment shall represent the pro-rata rent for the first calendar month for which rent is due under this Lease. Following payment of the pro-rata rent, if any, regular monthly installments of calculated Base Rent shall be paid in advance on or before the first (1st) day of each month, without any set-off or deduction.

3.03 *Additional Rent.* All costs, charges, adjustments and expenses that Tenant assumes, agrees to, or is obligated to Landlord under this Lease, shall be deemed Additional Rent. In the event of nonpayment, Landlord shall have the same rights and remedies with respect to the Additional Rent as is provided for herein in case of nonpayment of Base Rent. Tenant shall pay Landlord the Base Rent, and Additional Rent provided for in this Lease, when due and without notice or demand, at the time and in the manner specified herein.

3.04 *Time, Place and Manner of Payments.* At Tenant's election, payments of Base Rent and Additional Rent may be (i) through an automatic clearing house (ACH) as Landlord may designate in writing, or (ii) by check mailed to Landlord at P. O. Box 27, Cheyenne WY 82003 or to such other address as Landlord may designate in writing, on or before the first (1st) day of each calendar month for which such rent is due and payable. Tenant may rely upon and proceed in accordance with Landlord's notice of account or address. If Base Rent is received after the date required in this paragraph, there shall be a penalty, as Additional Rent, of two percent (2%) of such unpaid rent ("Delinquent Rent Fee"), due on or before the date the next payment of Base Rent is due. Any Base Rent or Additional Rent due Landlord under this Lease from Tenant not paid at the time specified herein shall bear interest at the annual rate of five percent (5%) until paid in full.

3.05 *Utilities.* Tenant shall pay all gas, electric, janitorial, telephone, computer link, television cable, trash removal and other utility charges ordered by Tenant in its own name and shall indemnify Landlord therefrom. Landlord shall pay all water and sewer utility charges attributable to the Premises. Tenant shall reimburse Landlord for water, sewer and trash removal charges added by the City of Cheyenne to Landlord's account for Tenant's restaurant use.

3.06 *Taxes on Food Service Equipment.* Tenant shall reimburse Landlord for all taxes, assessments, levies and other charges assessed, levied or imposed on the Food Service Equipment during the Term of the Lease. Tenant's obligation under this paragraph shall survive the expiration or early termination of the Lease and all such payments shall be prorated to reflect the actual Term of this Lease. The parties understand that in Laramie County, Wyoming, updated personal property reports are due to the county Assessor by March 1st of each calendar year. Personal property taxes levied are due and owing in full at the end of each calendar year, or in equal installments on November 10th of the same year and May 10th of the following year. Tenant may elect to make progress payments to Landlord of personal property taxes, and Landlord shall be accountable to Tenant for any such payments.

4.00 Tenant Finish

4.01 All Tenant Finish Work on the Premises shall be constructed and completed by Landlord, at its cost. Tenant Finish Work shall include all Food Service Equipment purchased and placed into service by Landlord for use by Tenant, whether or not Food Service Equipment is permanently affixed, attached or installed into the Premises. Tenant Finish Work shall *not* include the costs associated with Tenant's furniture, fixtures and "smallware" not permanently affixed, attached, installed or otherwise incorporated into the Premises, unless such property is included on the final Food Service Equipment list.

4.02 Without delay after the date of execution of this Lease, Landlord shall complete its ongoing efforts to develop and complete, in consultation with Tenant, plans and specifications for the Tenant Finish Work, including detailed floor plans, food service plans, and mechanical, electrical and plumbing plans (collectively "the Construction Documents"). After mutual approval by the parties, no material changes shall be made to the Construction Documents by either party without written consent of the other party.

4.03 Landlord shall select a general contractor to perform the Tenant Finish Work, in cooperation with and approval by Tenant, provided that the general contractor performing such Work shall hold a current license issued by the City of Cheyenne, Wyoming. Landlord may select subcontractors to work on the Tenant Finish Work, with or without competitive bidding, in cooperation with and approval by Tenant.

4.04 A schedule of estimated costs to complete the Tenant Finish Work is attached hereto and incorporated herein as Exhibit B. On or before the fifteenth (15th) day of each calendar month occurring after the date of execution of this Lease by Tenant, and continuing on the 15th day for each month thereafter until the Tenant Finish Work is substantially complete, Landlord shall deliver to Tenant a Cost Schedule, which identifies and accounts for costs incurred within each budget category to construct the Tenant Finish Work, for the month just ended and accumulated to-date, including construction costs, architect and design fees, contractor fees, engineering fees, and the cost of plans and permits in connection with the Tenant Finish Work.

4.05 After the Tenant Finish Work is substantially complete, and Landlord delivers to Tenant a final Cost Schedule, Tenant shall have 14 days to object to such final Cost Schedule or it shall be deemed that Tenant approves and accepts such Schedule. The final Cost Schedule shall include an updated Food Service Equipment list. Any objection from Tenant shall be written and specific. Landlord and Tenant shall work together in good faith to resolve such objections, if any.

4.06 Landlord is responsible to insure that the Tenant Finish Work is to be performed promptly and in a good and workmanlike manner, in accordance with the Construction Documents, and in full compliance with all applicable laws, rules, regulations, and requirements of all governmental agencies having jurisdiction over the Premises. Landlord and Tenant shall cooperate with one another to insure that the Tenant Finish Work is consistent with the overall tradition, quality and appearance of the Building, and the style, character and concept of Tenant's business. Notwithstanding the foregoing, Tenant Finish Work may be done with such minor variations as Landlord may deem reasonably advisable.

4.07 The parties shall proceed in good faith using their best efforts to complete the Tenant Finish Work on or before the Target Commencement Date.

4.08 All Tenant Finish Work constructed in and on the Premises, including any subsequent alterations approved by Landlord, shall remain upon the Premises at the end of the Term without compensation to Tenant.

4.09 *Construction Deposit.* Tenant shall pay as described in this paragraph the sum of Two Hundred Fifty Thousand Dollars (\$250,000), herein "the Construction Deposit", to Landlord's realtor, Coldwell Banker Commercial - The Property Exchange, to be held as security for the performance by Tenant of its covenants and obligations under this Lease up to the Commencement Date. It is expressly understood that the Construction Deposit shall not be considered a measure of Landlord's damages in case of default by Tenant. Tenant shall pay the Construction Deposit on the following dates and in the following amounts:

On the date this Lease is signed by the parties	\$40,000.00
February 1, 2014	40,000.00
March 1, 2014	40,000.00
April 1, 2014	40,000.00
May 1, 2014	<u>90,000.00</u>
	<u>\$250,000.00</u>

The Construction Deposit is not refundable to Tenant except in the case of failure by Landlord to perform or observe all terms and conditions under this Lease which are to be performed or observed by it prior to the Commencement Date.

4.10 *Down Payment.* On the Commencement Date, the Construction Deposit shall be paid and released to Landlord's lender, and applied by Landlord as a down payment on its loan financing the Tenant Finish Costs described in this Section 4.00. The down payment is not refundable to Tenant. The down payment reduces the tenant finish rent described in subparagraph "B" of Section 3.01.

5.00 Common Area Maintenance. As a component of Base Rent set out in Section 3.01, Tenant pays to Landlord \$2.53 psf for the Term of this Lease for expenses incurred by Landlord to operate and maintain the Common Area ("Common Area Maintenance", or "CAM" expenses).

CAM expenses shall include, without limitation, all costs and expenses incurred by Landlord in connection with: (i) maintaining and repairing the Common Area in the condition and status as Landlord deems consistent with a retail / office complex of the nature and character of the Property; (ii) security and fire protection; (iii) washing all exterior doors and windows of the Building annually, and cleaning and removing of rubbish, dirt, debris, snow and ice; (iv) planting, replanting and replacing flowers and landscaping; (v) premiums for liability and property damage, fire, extended coverage, malicious mischief, vandalism, employer's liability, and all other casualty or risk insurance obtained by Landlord in connection with the Property; (vi) wages and payroll taxes, and contract property management fees; (vii) real estate and personal property taxes attributable to the Property; (viii) supplies for the Common Area; (ix) natural gas cost to operate snow and ice melt system in the Common Area, electricity cost to light the Common Area, and service and maintenance cost related to such heating and lighting fixtures (including the costs of filters, bulbs and lamps); (x) electricity cost to operate the elevator in the Common Area, and service and maintenance cost related to such elevator; (xi) depreciation of Common Area components; (xii) machinery and equipment, and rents paid for the leasing of machinery and equipment used in connection with the operation and maintenance of the Common Area, and; (xiii) such other costs as Landlord may reasonably determine are required for the proper maintenance of the Common Area.

6.00 Tenant Repair and Maintenance Obligations.

6.01 Tenant shall at all times during the Term of the Lease, at its own cost and expense, keep and maintain the Premises and the common restrooms described in Section 3.01 in good order, condition and repair (including without limitation the Food Service Equipment, and all other improvements, fixtures and equipment on the Premises and in the common restrooms), and shall make all repairs and replacements, interior and exterior (including the interior of all walls and the exterior and interior of all doors, plate glass, display, and other windows) of the Premises, ordinary and extraordinary. Landlord shall keep and maintain in good order, condition and repair the foundations, and exterior walls (excluding the interior of all walls and the exterior and interior of all doors, plate glass, display, and other windows) of the Premises, except for (i) any damage caused by any act, negligence or omission of Tenant or Tenant's employees, agents, contractors or customers, and (ii) any structural alteration or improvements required by any governmental agency by reason of Tenant's use and occupancy of the Premises.

6.02 Tenant's obligation to keep and maintain the Premises and the common restrooms described in Section 3.01 in good order, condition and repair as set out in Section 6.01 includes without limitation repair and replacement of all light fixtures and lamps, all plumbing and sewage facilities in the Premises, floors (including floor coverings), doors, locks, closing devices, window casements and frames, glass and plate glass, grilles, all electrical facilities and equipment, HVAC systems and equipment that directly serve only the Premises, the Food Service Equipment, and all other appliances and equipment of every kind and nature. In addition, Tenant shall at its sole cost and expense install or construct any improvements, equipment or fixtures required by any governmental authority or agency as a consequence of Tenant's use and occupancy of the Premises. Tenant shall use its best efforts replace any damaged plate glass within 48 hours after the occurrence of such damage.

Tenant's obligation to keep and maintain the Premises in good order, condition and repair shall extend to regular cleaning on the roof of the Building as necessary to remove air-bourne grease and debris from the kitchen exhaust fans, and around and under the kitchen trash disposal areas the Property.

6.03 Tenant shall not permit mechanics' or other liens to be placed upon the Property, the Premises, or Tenant's leasehold interest in connection with any work or service done or purportedly done by or for the benefit of Tenant.

6.04 Landlord shall assign to Tenant, and Tenant will have the benefit of any guarantee or warranty to which Landlord is entitled under any purchase, construction or installation contract relating to a component of the Premises that Tenant is obligated to repair and maintain. Tenant shall have the right to call upon the contractor to make such adjustments, replacements or repairs that are required to be made by the contractor under such contract.

6.05 Landlord may at Landlord's option employ and pay a firm satisfactory to Landlord, engaged in the business of maintaining systems, to perform periodic inspections of the HVAC systems serving the Premises and to perform any necessary work, maintenance or repair of it. In that event, Tenant shall reimburse Landlord as Additional Rent for all reasonable amounts paid by Landlord in connection with such employment.

6.06 Upon the expiration or termination of this Lease, Tenant shall surrender the Premises to Landlord in good order, condition and repair, as Tenant is obligated under this Section 6.00, ordinary wear and tear excepted.

6.07 Notwithstanding the above-stated obligations, Tenant's obligation to repair shall not extend to: (i) damage caused by Landlord in connection with the Building; (ii) damage caused by any defects in the design, construction or materials of the Building; (iii) damage caused in whole or in part by the negligence or willful misconduct of Landlord or Landlord's agents, employees, invitees or licensees; (iv) repairs whose cost is included in CAM expenses; (v) damage due to fire, earthquake, acts of God, the elements or other casualties to the extent not

required to be insured by Tenant; (vi) damage to the interior of the Premises resulting from causes outside the Premises not required to be insured by Tenant; (vii) damage arising from Landlord's failure to comply with the provisions of this Lease; and (viii) the components of the Building included in the Tenant Finish Work.

6.08 If Tenant provides written notice to Landlord (or oral notice in the case of an emergency such as damage or destruction to the structure of the Building or a critical system thereof) of an event or circumstance that this Lease requires Landlord to repair or maintain, and Landlord fails to respond or to do so within a reasonable time after the receipt of the notice, but in any event not later than 21 days after receipt, then Tenant may proceed to take the required action upon delivery of an additional five business days' notice stating the required action and that Tenant is taking the required action (however, neither of the notices will be required in the event of an emergency which threatens life or imminent personal injury or property damage), and if such action is not taken, then Tenant shall have the right of prompt reimbursement by Landlord of Tenant's reasonable costs and expenses incurred in taking such action.

6.09 In the event Tenant defaults in performing any of Tenant's obligations to keep and maintain the Premises in good order, condition and repair as required in this Section 6.00, Landlord may, at Landlord's sole option, at any time, without notice, cure such default for the account and at the expense of Tenant. If Landlord at any time so elects, or is compelled, to cure any such default and incurs any expense in connection therewith, the sum or sums so paid by Landlord, shall be paid by Tenant to Landlord as Additional Rent, upon demand by Landlord.

7.00 Landlord's Obligations.

7.01 *Land and Building.* At all times during the term of this Lease, Landlord covenants and warrants to: (i) pay all taxes and assessments levied on the Building and Property; (ii) provide and maintain adequate insurance for the Building and Property against loss, damage or destruction by fire or other casualty; (iii) keep the Property and Building in good condition and repair; (iv) publish uniform rules and regulations regarding all tenants in the Building, and fairly enforce such rules and regulations and; (v) not violate or permit the violation of any law which might cause the closing or condemnation of the Building and Property or any part thereof.

7.02 *Common Area.* At all times during the term of this Lease, Landlord shall provide all normal utilities, maintenance, lighting, and trash removal for the Common Area. Landlord shall provide snow removal as needed for the Common Area once per day except on holidays.

8.00 Alterations. Tenant shall not make major alterations, additions or improvements to the Premises without first obtaining the written consent of Landlord in each instance. Landlord's consent shall not be required for any alteration that satisfies all of the following criteria: (i) is of a cosmetic nature, (ii) will not affect the Building and (iii) does not require work to be performed inside the walls or above the ceiling of the Premises.

9.00 Compliance with Laws. Tenant shall, at its expense, promptly observe and comply with all present and future laws, ordinances, requirements, orders, directions, rules and regulations of federal, state, county and city governments, which govern the use of the Premises or any part thereof by Tenant (including regulations or standards as are or may be promulgated under the Federal Occupational Safety and Health Act of 1970 or similar federal, state or local requirements), whether the same are in force at the commencement of the Term or may in the future be passed, enacted or directed. Tenant shall also procure each and every permit, license, certificate or other authorization now or hereafter required in connection with the lawful and proper use of the Premises. This obligation shall not require Tenant to make modifications, improvements or any other alterations to the Premises, Building or Property that are mandated by any governmental authority having or claiming jurisdiction over the Premises unless such modifications are required solely as a result of the use of the Premises by Tenant.

10.00 Diminution of Services. Landlord shall not be liable for the interruption, curtailment, stoppage or suspension of services and utilities to be furnished by Landlord pursuant to this Lease when necessary by reason of accident or emergency or suspension of utility services or when necessary for repairs, alterations, replacements or improvements desirable or necessary in the reasonable judgment of Landlord, or for any cause beyond the control of Landlord, nor shall Landlord have any liability for damages sustained by Tenant resulting therefrom. In the event of such interruption, curtailment, stoppage or suspension, there shall be no diminution or abatement of Base Rent, Additional Rent or other charges due from Tenant to Landlord under this Lease, except as provided in the next sentence. Tenant's obligations under this Lease shall not be affected or reduced, and Landlord shall have no responsibility or liability for such an interruption, curtailment, stoppage or suspension event, provided, however, that if such an event requires Tenant's restaurant business to close and remain continuously closed for more than two weeks through no fault of either party, then Base Rent shall be reduced by 50% beginning after the second week and continuing until all services and utilities are restored and fully operational. Landlord shall exercise reasonable diligence to restore any services or utilities so interrupted, curtailed, stoppage or suspended.

11.00 Entry by Landlord. Landlord may enter the Premises to inspect, show or clean the Premises, or to perform or facilitate the performance of emergency or extraordinary repairs, alterations or additions to the Premises or any portion of the Building. Landlord may only show the Premises to prospective tenants during the last three (3) months of the term and to prospective buyers of the building at any time with reasonable prior verbal notice. Except in emergencies or to provide Building services, Landlord shall provide Tenant with reasonable prior verbal notice of entry and shall use reasonable efforts to minimize any interference with Tenant's use of the Premises.

12.00 Assignment or Sublease.

12.01 Tenant will not assign this Lease or hypothecate or mortgage the same or sublet the Premises or any part thereof without the consent of Landlord. For the purposes of this

Section 12.00, Landlord agrees that it will not withhold its consent to an assignment or subletting, so long as the proposed subtenant or assignee, in the reasonable determination of Landlord (i) is of a character and quality similar to that of other tenants in the Building or in other first-class buildings of similar age, size and quality in Cheyenne, Wyoming, and (ii) has the financial net worth to enable it to meet its obligations under this Lease.

12.02 No less than thirty (30) days prior to the effective date of a proposed assignment or sublease, Tenant shall provide notice to Landlord of the proposed assignment or sublease. Landlord shall indicate its consent or non-consent thereto within ten (10) days after receipt of such notice.

12.03 In the event of any assignment or subletting pursuant to this Section, Tenant shall remain fully liable as a primary obligor and principal for Tenant's obligations and responsibilities under this Lease, including, but not limited to, the payment of all rent and charges required hereunder and the performance of all conditions and obligations to be performed under this Lease.

13.00 Insurance. Tenant, at its expense, shall maintain insurance protecting and indemnifying Landlord and Tenant against all claims for injury or damage to persons or property or for the loss of life or of property occurring upon, in or about the Premises and the public portions of the Property used by Tenant, its employees, agents, contractors, customers and invitees. The insurance shall afford minimum protection during the term of this Lease of not less than \$1,000,000 for bodily injury or death to any one person and not less than \$2,000,000 for any one occurrence or accident, and not less than \$100,000 for property damage.

All such insurance shall be effected under valid and enforceable policies (which may cover the Premises and other locations), shall be issued by insurers of recognized responsibility acceptable by Landlord, and shall contain a provision under which the insurer agrees not to cancel the insurance without 20-days' prior written notice to Landlord.

On or before the Commencement Date, Tenant shall furnish Landlord with a certificate evidencing the aforesaid insurance coverage. Renewal certificates shall be furnished to Landlord at least 30 days prior to the expiration date of each policy for which a certificate was furnished.

14.00 Damage by Fire or Other Cause.

14.01 *Damage.* Partial damage of the Premises shall not void this Lease. In the event that all or any portion of the Premises becomes untenable by fire, water, sewer or other casualty ("partial damage"), Landlord shall forthwith repair the same, provided the repairs can be made within 30 days under the laws and regulations of applicable governmental authorities. If the Premises are partially damaged by fire or other cause without the fault or neglect of Tenant or Tenant's servants, employees, agents, visitors or licensees, the damage shall be repaired by and at Landlord's expense and the fixed minimum rent until the repairs are made shall be apportioned

according to the part of the Premises which is usable by Tenant. If such partial damage is due to the fault or neglect of Tenant or Tenant's servants, employees, agents, visitors or licensees, without prejudice to any other rights and remedies of Landlord, and without prejudice to the rights of subrogation of Landlord's insurer, the damage shall be repaired by Landlord but there shall be no apportionment or abatement of rent.

If the Premises are substantially damaged or are rendered substantially untenable by fire or other cause, and Landlord decides not to restore or rebuild them, or if the Building is substantially damaged and Landlord decides to demolish, rebuild or remodel it (regardless of whether the Premises have been damaged), Landlord may, within 60 days after the fire or other cause, give Tenant written notice of its decision. Thereupon, the Term of this Lease shall expire by lapse of time on the third day after notice is given, and Tenant shall vacate the Premises and surrender them to Landlord. If Tenant is not in default under this Lease, upon its termination under the conditions provided for in the immediately preceding sentence, Tenant's liability for rent shall cease as of the day following the casualty.

14.02. *Limitation.* No damages, compensation or claims shall be payable by Landlord for inconvenience, loss of business or annoyance arising from any repair or restoration of any portion of the Premises or of the Building, except for rent abatement as provided in Section 14.01.

15.00 Signs.

15.01 *Monument Sign.* Landlord shall provide and maintain a monument sign near the entrance to the parking facility on the Property at 415 W. 17th Street. At its cost and expense, Tenant may add a panel approved by Landlord to the monument sign, listing Tenant's name, logo, location in the Building or other appropriate information.

15.02 *Building Signs.* With Landlord's prior approval of material, location, content, size, shape, and method of attachment, Tenant may place signs on the Building above any or all of the entry doors.

15.03 *Sign Agreement.* Any tenant in the Building electing to install signs on the Property will be subject to a Master Sign Agreement relating to tenant signage on the Property. The said Agreement sets out relative rights and responsibilities of Landlord and such tenants.

16.00 Surrender of Premises; Holding Over.

16.01 *Upon Expiration or Termination.* At the termination of this Lease or Tenant's right of possession, Tenant shall remove Tenant's property from the Premises, and quit and surrender the Premises to Landlord, broom clean, and in good order, condition and repair, ordinary wear and tear and damage which Landlord is obligated to repair hereunder excepted. Tenant's obligation to observe or perform this covenant shall survive the expiration or other termination of this Lease term.

16.02 *Abandoned Personal Property; Storage; Sale Pursuant to Lien.* Tenant shall not abandon personal property on the Premises. If Tenant does abandon personal property on the Premises, then with respect to such personal property abandoned on the Premises, Landlord shall have the right to remove and store such property. Tenant shall be liable for all reasonable costs and charges incurred by Landlord to remove and store abandoned property, whether in a public warehouse or upon Landlord's own property. Landlord shall have a lien against all abandoned personal property removed and stored, and may proceed to sell all right, title and interest of Tenant in and to such property, pursuant to law and after due notice to Tenant, in order to recover Landlord's costs and charges to remove and store such property.

16.03 *Holding Over.* In the event Tenant remains in possession of the Premises after the expiration of this Lease with the consent of Landlord and without the execution of a new lease, Tenant shall be deemed to be occupying the Premises as a tenant from month-to-month, subject to all of the conditions, provisions and obligations of this Lease insofar as the same are applicable to a month-to-month tenancy until the termination of such tenancy. Such month-to-month tenancy may be terminated by either party effective as of the end of any calendar month by twenty-eight (28) days prior written notice to the other party. If Tenant remains in possession of the Premises without the consent of Landlord or remains in possession of the Premises following the termination of a hold-over month-to-month tenancy created pursuant to the first sentence of this paragraph, then Tenant shall pay to Landlord a use and occupancy charge equal to one hundred ten percent (110%) of the monthly Base Rent in effect immediately prior thereto, computed on a daily basis, and otherwise subject to the terms and conditions of this Lease. The provisions of this paragraph shall not be deemed to waive Landlord's right of re-entry or any other right hereunder or at law and shall survive the expiration of the Term of this Lease.

17.00 Default and Remedies.

17.01 *Tenant Breach or Default.* Tenant shall have breached this Lease and shall be considered in default hereunder if: (i) Tenant fails to pay any rent when due under this Lease, and does not make the delinquent payment within ten (10) business days after receipt of written notice thereof from Landlord, or (ii) Tenant fails to perform or comply with any of the other covenants or conditions of this Lease, and such failure continues for a period of ten (10) business days after receipt of written notice thereof from Landlord.

17.02 *Effect of Tenant Default.* In the event of any breach of this Lease as defined in Section 17.01, the rights of Landlord shall be as follows:

A. Landlord shall have the right to cancel and terminate this Lease, as well as all of the right, title and interest of Tenant hereunder, by giving to Tenant not less than 30 days' written notice of the cancellation and termination. On expiration of the time fixed in the notice, this Lease, and the right, title and interest of Tenant hereunder, shall terminate in the same manner and with the same force and effect, except as to Tenant's liability, as of the date fixed in the notice of cancellation and termination as if such date was the end of the Term originally determined herein. On termination, Landlord may

recover from Tenant all damages proximately resulting from the breach, including the cost of recovering the Premises, and the balance of the Base Rent payable for the remainder of the Term, which sum shall be immediately due to Landlord from Tenant.

B. On termination, Landlord may re-enter the Premises immediately, remove the personal property of Tenant abandoned therein, store such property at a place selected by Landlord, and sell such property pursuant to Section 16.02.

C. In addition to Tenant's liability to Landlord for breach of the Lease, Tenant shall be liable for all reasonable expenses of the reletting the Premises, for the reasonable and necessary costs to clean and repair the Premises as Tenant is obligated under Section 6.00 incurred by Landlord, and for the difference between the rent received by Landlord under a new lease agreement and the installments of Rent that are due for the same period under this Lease.

D. Landlord shall apply any rent received from reletting the Premises as follows: (i) to reduce Tenant's indebtedness to Landlord under this Lease, not including indebtedness for Rent, (ii) to expenses incurred to relet, clean and repair the Premises, (iii) to Rent due under this Lease, and (iv) to payment of future Rent under this Lease as it becomes due.

E. Landlord may at any time, after a reletting, terminate this Lease for the breach on which Landlord had based the re-entry and subsequently relet the Premises.

F. The remedies herein given to Landlord shall be cumulative, and the exercise of any one remedy by Landlord shall not be to the exclusion of any other remedy.

17.03 *Landlord Breach or Default.* Landlord shall have breached this Lease and shall be considered in default hereunder if Landlord fails to perform or comply with any covenants or conditions of this Lease, and such failure continues for a period of thirty (30) business days after receipt of written notice thereof from Tenant. Said notice shall describe Landlord's failure with specificity. If the nature of Landlord's obligation is such that more than thirty (30) days are required for performance, then Landlord shall not be in default if Landlord commences performance within such thirty (30) day period and thereafter diligently prosecutes the same to completion.

17.04 *Effect of Landlord Default.* In the event of any breach of this Lease by Landlord as defined in Section 17.03, Tenant shall have the right to terminate this Lease as a result of Landlord's default or offset any claimed amount against any Base Rent, Additional Rent, or other sum then or thereafter due Landlord. On termination, Tenant may recover from Landlord all damages proximately resulting from the breach. The remedies herein given to Tenant shall not limit or exclude other available remedies found in law or equity.

17.05 *No Waiver.* No failure of Landlord or Tenant to enforce any term of this Lease

shall be deemed a waiver, nor shall any acceptance of partial payment of rent be deemed a waiver of Landlord's rights to the full amount thereof.

18.00 Subordinate to Mortgages.

18.01 *Subordination.* This Lease is and shall be subject and subordinate to mortgages which may now or hereafter encumber the Property, and to all renewals, modifications, amendments, consolidations, replacements, or extensions thereof. This clause shall be self-operative and no further instrument of subordination shall be required by any mortgagee. In confirmation of such subordination, Tenant without cost or charge to Landlord, shall execute promptly any certificate or instrument of subordination reasonably requested by Landlord.

18.02 *Notice of mortgagees.* If there is any act or omission by Landlord which would or may give Tenant the right to terminate this Lease or to claim a partial or total eviction, Tenant will not exercise the right until:

A. Tenant has given written notice of any such act or omission to Landlord and to the holder of any mortgage whose names and addresses previously have been furnished to Tenant by giving such notice, addressed to Landlord and the holders at the last addresses so furnished, and;

B. A reasonable period of time for remedying such act or omission has elapsed following the giving of notice, during which any of the parties to whom notice was given has not commenced with reasonable diligence to remedy, or cause to be remedied, the act or omission.

18.03. *Mortgage modification.* If, in connection with obtaining temporary or permanent financing for the Property, any lender requests reasonable modifications of this Lease as a condition to such financing, Tenant shall not unreasonably withhold, delay or defer the execution of an agreement of modification of this Lease if such modifications do not increase Tenant's financial obligations hereunder or materially adversely affect the leasehold interest hereby created or Tenant's reasonable use and enjoyment of the Premises. If Tenant refuses to execute and deliver any such modification agreement within ten days after its request by Landlord, then Landlord may cancel and terminate this Lease. Upon such cancellation and termination neither party shall have any further right or obligation to the other arising out of the execution and delivery of this Lease.

18.04 *Nondisturbance of Tenant.* Notwithstanding the provisions of Section 18.01, the subordination of this Lease to any later executed superior mortgage, or to any later renewal, modification, replacement or extension of a superior mortgage which now encumbers the Property, is subject to the express conditions that so long as this Lease is in full force and effect and Tenant is not in default of the terms and provisions of this Lease beyond any applicable grace periods, Tenant shall not be evicted from the Premises, Tenant's leasehold estate under this Lease shall not be terminated or disturbed, nor shall any of Tenant's rights under this Lease be affected

in any way, by reason of any default under the superior mortgage.

19.00 Parking.

19.01 *Customer Parking.* Parking for Tenant's customers, vendors and invitees is available in unreserved parking spaces in the parking lot on the Property immediately north of the Premises.

19.02 *Employee Parking.* Tenant's employees are prohibited from parking in the lot on the Property immediately north of the Premises on a regular basis for extended periods of time, and Tenant shall communicate and enforce the prohibition against its employees parking in the said lot.

Landlord shall provide, at its cost, 45 parking spaces for Tenant's employees in the unpaved parking lot on the 500 block of West 17th Street, one block west of the Property. Landlord understands from representatives of the City of Cheyenne that it can waive or delay the imposition of certain requirements for parking lots for only a limited number of years, depending on other developments on the west edge of downtown Cheyenne. Because it is uncertain whether the said parking lot can be available for use by Tenant after the first 5 years of the Term for the \$1.60 psf rent factor set out in Section 3.01, in the 5th year of the Term Landlord and Tenant shall work together in good faith to re-negotiate with respect to the number of parking spaces, duration of the new parking term, and the rent chargeable for such spaces beginning in the 6th year of the Term. Neither party shall have any obligation to the other with respect to an employee parking agreement after conclusion of the first 5 years of this Lease. Beginning on the 6th anniversary of the Commencement Date, Base Rent as set out in Section 3.01 shall be adjusted as necessary to account of the parties' agreement with respect to employee parking.

20.00 Option and Right to Renew the Lease. Provided Tenant is not then in default under this Lease, Tenant is granted an exclusive option and right to renew the Lease for the Premises, as set forth below, for one renewal term of five (5) years, under the same terms and conditions of this Lease, except that the amount to be paid for rent shall be subject to negotiation and modification within the parameters set forth in Section 3.01. To exercise the renewal option for each term, Tenant shall deliver written notice of its exercise of the option to Landlord not less than sixty (60) days prior to the expiration of the Term of this Lease.

If Tenant exercises its option to extend the term of this Lease, the parties shall be required to fully agree on the Base Rent prior to the commencement of such extended term. If the parties are unable to so agree on the Base Rent for the extended term, then beginning on the date which would otherwise be the commencement of such extended term, and continuing thereafter for a 12-month extended period, the Base Rent shall equal one hundred ten percent (110%) of the monthly Base Rent in effect immediately prior to expiration of the Term of this Lease for the first six months, and one hundred twenty percent (120%) of such monthly Base Rent for the next six months, unless during such 12-month extended period the parties agree on the Base Rent for the entire extended term. If the parties are unable to agree on the Base Rent for the period after such

extended 12-month period, then this Lease will terminate.

21.00 Building Rules.

21.01 *Rules.* Tenant, its employees, agents and visitors, shall observe faithfully and comply strictly with Landlord's Building Rules. Landlord may make and publish reasonable changes in and additions to the Rules thus set forth, provided that such changes and additions are applicable to all tenants in the Building. Except as required by law or in the case of an emergency, changes and additions to the Rules shall provide for notice and opportunity for comment before a proposed effective date.

21.02. *Enforcement.* Landlord's failure to enforce any existing or future Rules, either against Tenant or any other tenant in the Building, shall not constitute a breach hereunder or waiver of any such Rules. However, any rule not generally enforced against other tenants in the Building will not be discriminatorily enforced against Tenant.

22.00 Broker. Landlord shall pay Coldwell Banker Commercial - The Property Exchange a broker's commission as per separate agreement.

23.00 Quiet Enjoyment. Subject to the terms and conditions of this Lease, so long as Tenant is not in default under this Lease, Landlord covenants and agrees that Tenant is entitled to quiet enjoyment of the Premises during the Term.

24.00 Miscellaneous.

24.01 This Lease shall be interpreted and enforced in accordance with the Laws of the State of Wyoming, and Landlord and Tenant hereby irrevocably consent to the jurisdiction and proper venue of such state. If any term or provision of this Lease shall to any extent be void or unenforceable, the remainder of this Lease shall not be affected. Tenant represents and warrants to Landlord that each individual executing this Lease on behalf of Tenant is authorized to do so.

24.02 If either party institutes a legal proceedings against the other for violation of or to enforce any covenant, term or condition of this Lease, the prevailing party shall be entitled to recover reasonable attorneys' fees and costs incurred both before and after the initiation of the proceedings in representing the client concerning the subject of the proceedings. Landlord and Tenant hereby waive any right to trial by jury in any proceeding based upon a breach of this Lease. Either party's failure to declare a default immediately upon its occurrence, or delay in taking action for a default, shall not constitute a waiver of the default, nor shall it constitute an estoppel.

24.03 Landlord shall have the right to transfer and assign, in whole or in part, all of its rights and obligations under this Lease and in the Building and Property. The covenants, conditions, and agreements contained in this Lease shall bind and inure to the benefit of the parties and their respective heirs, legal representatives, successors and, except as otherwise

provided herein, assigns.

24.04 This Lease represents the entire agreement between Landlord and Tenant with respect to the subject matter hereof and supersedes all prior writings, communications, discussions, representations or understandings, whether written or oral.

24.05 This Lease may be altered, amended or modified only by a written instrument duly executed by Landlord and Tenant.

24.06 All notices required to be given under this Lease shall be in writing, and be delivered by certified mail, addressed as set out in Section 1.07, above, or to such other address as is stated in a notice given in compliance herewith. Any notice given in accordance with the foregoing shall be deemed to have been given on the second business day after it was mailed in compliance herewith.

24.07 For the term of the lease, Tenant shall be authorized to sell and serve alcoholic or malt beverages on the Premises, as permitted by the laws of the State of Wyoming. Tenant shall also be authorized to sell and serve alcoholic or malt beverages inside the Rotunda of the Building after 5:00 PM Monday - Friday, and 11:00 AM Saturday and Sunday, as necessary and convenient to accommodate its customers while waiting to be seated.

25.00 Guarantor This Lease shall be secured by a separate guaranty agreement signed by Burke Moran. A guaranty agreement acceptable to both Landlord and its lender shall be current and in effect for the Term of this Lease.

26.00 Option to Purchase an Interest in the Premises.

Provided that Tenant is not in default under any of the terms and conditions of this Lease, during two separate periods of time in the Term of this Lease, Tenant shall have an option to purchase the Premises as it will be described according to a condominium plat to be developed and recorded by Landlord with respect to the Building, and the Food Service Equipment (herein after "the property"). Tenant may exercise the option to purchase as set out in this Section 26.00.

There are two option periods. The first option period begins on the 5th anniversary of the Commencement Date, and expires on the last day of the month in which the 5th anniversary date occurs ("the first option period"). The second option period begins on the first day of the month in which the Termination Date occurs and expires on the Termination Date ("the second option period"). For the purposes of these option periods, time shall be of the essence.

The purchase price for the property shall be the sum of the following components and prices :

1. For the Core & Shell, One Million Three Hundred Thousand Dollars (\$1,300,000), plus

2. For the Tenant Finish Costs, the unpaid principal balance of Tenant Finish Costs, as if the Tenant Finish Costs were in fact a loan amortized at the Applicable Interest Rate over the Applicable Period as described in Section 3.01, Part B -

(A) in the case of exercise during the first option period, such unpaid principal balance is measured as of the 5th anniversary of the Commencement Date, after 60 payments of tenant finish rent, or

(B) in the case of exercise during the second option period, such unpaid principal balance is measured as of the first day of the month in which the Termination Date occurs, after 120 payments of tenant finish rent.

Tenant may exercise the option to purchase by giving to Landlord notice of intent to exercise no more than 120 days and no less than 60 days prior to the beginning of the first or second option period, as the case may be. The required notice of intent to exercise shall not modify any terms or conditions of this Lease, which shall remain in full force and effect from giving the notice of intent to closing the sale / purchase, notwithstanding that the said period of time may extend beyond the Termination Date.

If Tenant gives Landlord the required notice in a timely manner, then the parties shall work together in good faith to negotiate and execute a separate real estate contract with ordinary and customary terms for the sale / purchase of the property for the purchase price.

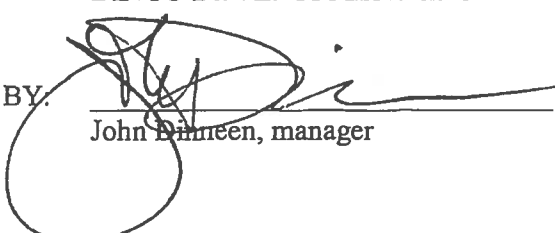
Provided that Tenant is not then in default under this Lease, closing of the sale / purchase shall take place during the first or second option period, as the case may be, unless the delay is through no fault of Tenant in which event the closing of the sale may take place after the expiration date. Landlord shall convey the property by a good and sufficient warranty deed and bill of sale, free and clear of all liens and mortgages, subject to all covenants and conditions of record, including specifically those related to the above-mentioned condominium development.

If Tenant does not give the required notice of intent to exercise before the 60th day prior to the beginning of the second option period, then Landlord shall retain the property, free from any and all claims which Tenant may have to the property, and neither party shall have any further rights or claims against the other regarding the option to purchase described in this Section.

WHEREAS Landlord and Tenant have executed this Lease as of the day and year first above written.

Landlord:
DINCO DEVELOPMENT LLC

BY:



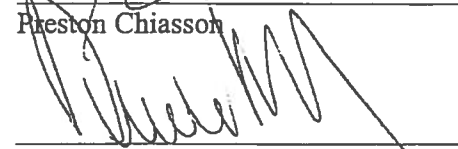
John Binneman, manager

Tenant:
WRCH - CHEYENNE, INC.

BY:



Preston Chiasson



Burke Moran